OVERVIEW

Following is a discussion of the results of the Company for the year ended December 31, 2002.

In accordance with changes in generally accepted accounting principles, effective January 1, 2002 the company no longer amortizes goodwill, resulting in a positive effect on 2002 reported earnings. The effect of this is explained more fully in note 2(g) to the Company's financial statements. All comparative percentage increases noted herein are after taking account of this change. During 2002, the Company completed the transitional goodwill impairment test for all reporting units in accordance with generally accepted accounting principles. The results of this test have indicated there is no impairment to the book value of goodwill

Sales for the year of $1,028.6 million increased 52% from $678.3 million last year, reflecting the impact of acquisitions and strong internal growth in the bakery operations. Excluding the contribution from acquisitions, sales increased by 8%.

Earnings from operations were $63.8 million, an increase of 61% from $36.4 million last year ($39.5 million before goodwill amortization). The increase was due to strong performance in the fresh and frozen bakery operations, continued operational improvements and strong contribution from Multi-Marques Inc., which was purchased in the fourth quarter of 2001.

The Company's effective tax rate decreased to 35.8% in 2002 compared to 41.9% in 2001. *The Company's income tax expense is discussed in note 10 to the consolidated financial statements.*

OTHER INCOME

Other income decreased from $1.3 million in 2001 to $0.3 million in 2002. In 2001, the Company's share of earnings from its 25% investment in Multi-Marques of $1.4 million was equity accounted and included in Other Income until October 12, 2001, when the remaining 75% of the shares were purchased, from which date the operations of Multi-Marques were consolidated.

ACQUISITIONS

In 2001, the Company acquired the remaining 75% interest in Multi-Marques Inc. to hold 100%, and in April 2002, the Company acquired the remaining 40% of the shares of Ben's Bakery Limited in Atlantic Canada. In July 2002, the Company acquired all of the outstanding shares of Olafson's Baking Company Inc. ("Olafson's") of Delta, British Columbia. The initial purchase price was $11.5 million. Additional consideration, up to a maximum of $11.0 million, may be payable depending on the attainment of certain financial targets, up until February 28, 2004. The results of operations of Olafson's have been included since the date of acquisition.

In October 2002, Maple Leaf Foods acquired the shares of Grace Baking Company of San Francisco, California. In December 2002, Canada Bread purchased all of Maple Leaf's U.S. and U.K. bakery operations, including Grace Baking Company ("Maple Leaf Bakery Group"), for approximately $262.0 million, inclusive of debt assumption. These operations have not been reflected in the consolidated statement of earnings for 2002, but are included in the consolidated balance sheet as at December 31, 2002. The Company has not yet completed the determination of fair values of the individual assets and liabilities acquired, or its restructuring and integration plans for the operations acquired in the Olafson's and Maple Leaf Bakery Group acquisitions. Accordingly, the allocation of the purchase cost to the assets and liabilities acquired is preliminary and will change as restructuring plans are finalized. No restructuring costs have been accrued in the preliminary purchase accounting included in these financial statements, or accrued with respect to any restructuring of existing Canada Bread operations that may result from the integration plans, when finalized.

Details of assets and liabilities acquired in these acquisitions are set out in note 13 to the consolidated financial statements.

CASH FLOWS

Cash flow from operating activities of $92.2 million compared to $94.6 million in 2001. Higher earnings contributed to the strong cash flow in 2002, although this was offset by additional securitization of assets of $28 million in 2001 that did not reoccur in 2002 which reduced the contribution from working capital. During the year, the Company invested $20.7 million in capital assets, compared to $11.7 million last year. In 2002, the Company spent $288.9 million on net assets of acquired businesses compared to $105.2 million last year.

CAPITAL RESOURCES AND LIQUIDITY

Canada Bread finances its normal operating activities primarily from operating cash flow. To provide it with further liquidity, the Company and its subsidiaries had aggregate credit facilities of $148 million at December 31, 2002 with major Canadian banks.

In addition to bank credit facilities, to finance the acquisition of Maple Leaf Bakeries, the Company established a $215 million revolving debt facility with Maple Leaf Foods Inc. in December, 2002. The terms of this facility, including its revolving nature, interest rates and covenants, are substantially similar to those available to Canada Bread through its syndicated bank facility. The facility matures one year from the date of drawing but may be extended, subject to certain conditions, for two additional one-year periods at the option of Canada Bread. The facility permits prepayments without penalties and permits Canada Bread to repay up to $20 million through the issuance of common shares of Canada Bread directly to Maple Leaf. In January 2003, Canada Bread repaid $100 million of this facility from the proceeds of an equity offering and the available amount of the facility was permanently reduced to $109 million. In addition, in December, Canada Bread issued a short-term promissory note to Maple Leaf in the amount of $75 million. This promissory note was repaid in January 2003.

Management is of the opinion that current sources of funding provide the Company with sufficient liquidity to finance ongoing business requirements and its planned capital expenditure program.

RISK MANAGEMENT

The Company has financial risk exposure to varying degrees relating to interest rates, foreign exchange and fluctuating flour prices. When considered appropriate, these exposures may be managed by the use of derivative financial instruments, including interest rate swaps, currency contracts, commodity futures and forward purchase or sale contracts. *Information on the Company's material year-end derivative hedge positions is set out in note 6 to the consolidated financial statements.*

In common with most businesses, the Company faces a certain degree of credit risk arising from sales of products on credit terms to customers. To manage credit risk, credit limits and terms of sale are established and monitored on a regular basis.

CHANGE IN ACCOUNTING POLICIES

Refer to note 2(l) to the consolidated financial statements.

DIVIDENDS

Dividends paid in 2002 equaled $0.24 per share (2001 – $0.24), resulting in cash payments of $5.1 million (2001 – $5.1 million).

ENVIRONMENT

Canada Bread is conscious of its environmental responsibilities. Each of its businesses operates within the framework of an environmental policy, "Our Environmental Commitment", which was updated in 2002 and approved by the Board of Directors' Environment, Health and Safety Committee. The Company's environmental program is monitored on a regular basis by the Environment, Health and Safety Committee,

with compliance with regulatory requirements specifically monitored by internal environmental specialists and independent, external environmental analyses. The Company continues to invest in environmental infrastructure related to water, waste and air emissions to ensure that environmental standards continue to be met, while implementing procedures to minimize the impact of operations on the environment. Expenditures related to current environmental requirements are not expected to have a material effect on the financial position or earnings of the Company.

RELATED PARTY TRANSACTIONS

Maple Leaf Foods Inc. provides certain management and other services to Canada Bread. The Company's Audit Committee reviews these arrangements on a regular basis. *See note 12 to the consolidated financial statements for further details.*

SUBSEQUENT EVENTS

On February 4th, 2003 Canada Bread announced the closure of its London, Ontario fresh baking facility. The Company expects that the costs of closure will result in a special charge to earnings in the first quarter of 2003 of approximately $5 million before tax (approximately $3 million after tax).

On January 28th, 2003 Canada Bread issued 4 million shares to Maple Leaf from treasury at $26.50 per share in a private placement transaction. The $26.50 price represents a 24% premium to the average closing price for Canada Bread common shares for the 10 days preceding the announcement. Proceeds from the financing of $106 million have been used to pay down debt under the Company's existing credit facility with Maple Leaf Foods. As a result of this payment, this credit facility was permanently reduced from $215 million to $109 million. Prior to this transaction, Maple Leaf Foods owned 68.3% of the outstanding common shares. After the issuance of shares, Maple Leaf Foods owns approximately 73.3% of the outstanding common shares.

QUARTERLY FINANCIAL INFORMATION

The following is a summary of unaudited quarterly financial information for the years ended December 31, 2002 and 2001 (millions of dollars except per share amounts). In accordance with changes in generally accepted accounting principles, effective January 1, 2002, the company no longer amortizes goodwill, resulting in a positive impact on 2002 reported earnings. The 2001 numbers in this table have been re-stated to take into account this change.

(millions of dollars, except per share amounts)	1st Qtr. 2002	2nd Qtr. 2002	3rd Qtr. 2002	4th Qtr. 2002	Total 2002
Sales	$ 231	$ 256	$ 273	$ 269	$ 1,029
Net earnings	6	11	12	10	39
Net earnings per share	$ 0.30	$ 0.47	$ 0.55	$ 0.48	$ 1.80

	1st Qtr. 2001	2nd Qtr. 2001	3rd Qtr. 2001	4th Qtr. 2001	Total 2001
Sales	$ 137	$ 148	$ 155	$ 238	$ 678
Net earnings	4	5	7	8	24
Net earnings per share	$ 0.19	$ 0.21	$ 0.33	$ 0.39	$ 1.12